Bafin Federal Financial Supervisory Authority

CONSUMER PROTECTION

Sustainable investments: mandatory questions as part of investment advice

Since 2 August 2022, advisors have been legally obliged to ask customers about their sustainability preferences and only recommend products that meet these preferences.

If you would like to invest your money sustainably, you can seek advice from a bank or financial services provider. If you are looking for an insurance-based investment product, you can contact insurance companies, insurance intermediaries or insurance advisors.

Investing money while making a positive contribution to climate protection and environmental, ethical or social issues – and generating a good return at the same time: it sounds tempting, but it is a complex field. The number of financial products advertised as "green", "social" or "climate-friendly" [1] has risen sharply. It is difficult to keep an overview in this jungle. An investment consultation can help you find the right products. You should clarify in advance what sustainability criteria are particularly important to you.

What will my advisor ask as part of the investment consultation?

During the consultation, the advisor [2] will enquire about your sustainability preferences and inform you about the relevant features. Advisors have been legally obliged to do this since 2 August 2022 [3] . They will also ask about your other investment goals: How long would you like to invest for? How will-

ing are you to take risks? What is the purpose of your investment?

Set sustainability preferences

To clarify your sustainability preferences, the advisor will ask you whether you are interested in sustainable investment opportunities. You can specify which of the following aspects are important to you:

1. The product must contain a minimum proportion of environmentally sustainable investments (■ EU-Taxonomy Regulation).
2. The product must include a minimum proportion of sustainable investments (EU Sustainable Finance Disclosure Regulation – SFDR)
3. The product must take account of principal adverse impacts (PAI).

You can also request that the recommended financial product [4] fulfils two or all three criteria.

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1) You choose a product that makes environmentally sustainable investments (EU Taxonomy Regulation). ■

If you choose a financial product that makes environmentally sustainable investments, your advisor will recommend a product that invests in economic activities that support the environmental objectives of the EU taxonomy. The product ensures that it fulfils minimum social standards and does not significantly impair other environmental goals. The six environmental objectives of the EU taxonomy are as follows:

- climate change mitigation
- climate change adaptation
- sustainable use and protection of water and maritime resources
- transition to a circular economy

- pollution prevention and control
- protection and restoration of biodiversity and ecosystems

The EU taxonomy provides a standardised framework for classifying environmentally friendly economic activities in the EU. These activities incorporate various sectors, such as energy and transport. At the same time, the taxonomy is intended to promote and accelerate the transition to a low-carbon economy that makes efficient use of resources.

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2) You choose a product that makes sustainable investments based on ESG criteria (EU Sustainable Finance Disclosure Regulation)

If you choose a financial product that facilitates sustainable investments, your advisor will suggest a product that invests in economic activities that make a significant contribution to achieving an environmental or social objective. The companies invested in must comply with the principles of good corporate governance.

Under the EU Sustainable Finance Disclosure Regulation, investments are only considered sustainable if they do not significantly impair any of the objectives. These objectives can be organized into ESG categories (environment, social, governance):

- Environmental objectives include the efficient use of energy, raw materials, water and soil, the promotion of biodiversity and the circular economy.
- Social objectives involve efforts to combat inequality and promote social cohesion and integration.
- Good governance requirements include compliance with laws, tax regulations and measures to ensure equal opportunities.

EU Sustainable Finance Disclosure Regulation

Point 17 of Article 2 of the EU Sustainable Finance Disclosure Regulation (SFDR) sets out what constitutes a sustainable investment. The Regulation obliges companies to disclose the sustainability characteristics of a financial product and the objectives it pursues. This makes it easier for

consumers to compare financial products and to recognise whether a product meets their requirements.

The Regulation sets out transparency obligations for financial products with different sustainability objectives. It distinguishes between products under Article 6, Article 8 and Article 9. However, these terms are not general labels for "sustainable products". Rather, they specify which sustainability information a product must provide. Companies must check whether a product promotes environmental or social characteristics (Article 8 of the SFDR) or has sustainable investments as its objective (Article 9 of the SFDR) and must disclose the relevant information. Products under Article 6 of the SFDR do not pursue any explicit sustainability objectives, but must nevertheless take sustainability risks into account in their investment decisions.

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3) You choose a product that takes account of principal adverse impacts on sustainability factors



If you are looking for a financial product that takes account of the principal adverse impacts on sustainability factors (PAI), your advisor can, for example, recommend a product that aims to protect the environment. Such products only invest in companies seeking to reduce their CO2 emissions in the long term or to withdraw from environmentally harmful sectors.

PAIs describe the primary negative consequences of investment decisions on sustainability factors such as the environment, social issues, working conditions, human rights and the fight against corruption and bribery. The EU Sustainable Finance Disclosure Regulation sets out PAI indicators with which to measure these impacts.

You can specify in advance which PAIs your selected product should take into account. These cover all ESG categories, including greenhouse gas emissions, biodiversity, waste, water, social issues and labour rights.

What if your advisor cannot recommend a product that meets your sustainability preferences?

The legal framework is currently still under development, and the assessment of which economic activities are considered sustainable is ongoing. The database that companies use to assess sustainability is growing gradually.

Your advisor may therefore be unable to offer a product that matches your preferences – particularly if you want a high proportion of ecological or sustainable investments in accordance with the EU Taxonomy Regulation or the EU Sustainable Finance Disclosure Regulation.

In this case, your advisor will inform you of the reasons and give you the opportunity to adjust your preferences. Whether or not you change your preferences is entirely your decision. Your advisor is not allowed to influence you in this decision.

Bafin survey on sustainable financial products

Bafin survey reveals the majority of respondents are familiar with sustainable financial products

In a representative survey carried out by Bafin in 2022, 65% of respondents stated that they were aware of financial products that are labelled as sustainable or green or that meet ESG criteria. 15% had already purchased such products and 8% had done so in the past two years.

The participants were also asked about their attitudes towards sustainable investments: most of them considered it more important to invest in companies that make a profit than in companies that strive to minimise their environmental impact, improve their social standards or their governance standards.

Background

These data are based on a survey developed and coordinated by the International Network on Financial Education (INFE) of the Organisation for Economic Cooperation and Development (OECD). The objective is to provide internationally comparable data on financial education and financial inclusion.

The surveys are conducted every three years. There have been four surveys to date and the preceding one was conducted in 2019. Since then, Bafin has

been coordinating data collection for Germany. The most recent survey took place in September and October 2022, when a market research institute conducted 1,000 computer-based telephone interviews with adults between the ages of 18 and 79. Bafin evaluates the data itself and uses the findings in order to exercise its collective consumer protection mandate.

The focus of this extensive survey was not only on financial knowledge but also on other topics such as the respondents' attitudes towards money and finance, their problems with financial products or services or their trust in the financial system. The OECD published the international results of this study on 14 December 2023. Bafin has analysed the data from Germany in the areas of financial resilience, digitalisation, sustainability and financial knowledge.

Footnotes:

1. The term "financial products" in this context does not only refer to financial products within the meaning of Article 2 No. 1 of the EU Sustainable Finance Disclosure Regulation (SFDR). For the purposes of this text, the term is used as an umbrella term for various investment products.
2. "Advisor" is used as a collective term for all groups of people working in an advisory capacity who have to take the sustainability preferences of customers into account in the advice they provide.
3. In the insurance sector this only applies to the sale of insurance-based investment products.
4. For the sake of simplicity, the term "financial product" is used in this article. The survey of sustainability preferences is relevant for all "financial instruments". Financial instruments are defined under section 1 (11) sentences 1 to 5 of the German Banking Act (Kreditwesengesetz – KWG). These include shares, investments, debt instruments, shares in investment funds, money market instruments, derivatives and crypto assets.